MAKING OF THE NSE

It was 1992. In the wake of the Harshad Mehta scam at the Bombay Stock Exchange (BSE), the government was keen to bring transparency to Indian capital markets. That was when the Industrial Development Bank of India (IDBI) took the lead among top financial institutions to set up the NSE. It was incorporated in 1992 and recognised as an exchange the following year. Ramkrishna, who had joined IDBI's project finance division in 1985, was among the core team put together by then IDBI chairman S.S. Nadkarni to build NSE from scratch and counter the dominance of the BSE. Leading the team was then IDBI executive director R.H. Patil. The others were Ravi Narain, who headed the NSE from 1994 to March 2013 until Ramkrishna took over; Ashish Chauhan, who moved on from the NSE and eventually helmed the BSE; and Raghavan Putran, who took an apparently spiritual turn after quitting NSE around 2002, joined the mission of Yogananda Paramahansa and is reportedly staying in an ashram near Kolkata (see *NSE's Core Team*). NSE insiders say that in the 2001 stock market scam, while the entire BSE board was superseded, dealings of the Automated Lending and Borrowing Mechanism under Putran were not thoroughly probed. He was given a quiet exit and remained as a consultant for several years.

As part of the founding team at the NSE, Ramkrishna played a key role in arranging the development of a technology platform that made trading at the stock exchange transparent and at par with world standards. There was staunch resistance from the broker community as the automated screen-based trading system she was instrumental in setting up was changing the rules of the game. "She had to fight the brokers and she did leverage her position to make sure that the NSE scored over BSE in terms of access to the powers-that-be—the regulator, ministry and the broker community," says one of the top fund managers in the country who has decades of experience in the stock markets. A force to reckon with, Ramkrishna wielded immense power in the stockbroking community—with the brokers, the market regulator and the top bosses at North Block in New Delhi, including a former finance minister and a key bureaucrat. At the NSE, she ran a tight ship, and was both revered and feared.

After she took over as MD and CEO, NSE's daily average turnover, including both cash and derivatives, doubled to Rs 3.5 trillion from Rs 1.6 trillion in the three-and-a-half years she was at the helm. She travelled across the country in the early years of setting up the exchange, convincing brokers to trade through the NSE. Emerging as a challenger to the BSE, over time, the NSE became the dominant force. At meetings called by market regulator SEBI, Ramkrishna often drove the agenda. The top management of the NSE also had the blessings of the UPA government and considerable clout with SEBI. In fact, brokers in Mumbai did not want to be seen on the wrong side of the NSE. Market insiders say brokers would be questioned for the same actions at the BSE that they could get away with at the NSE.

THOUGH CBI SUSPECTS THAT SUBRAMANIAN IS THE YOGI, CHITRA'S MENTOR COMES ACROSS AS AN OLD-TIMER FAMILIAR WITH NSE'S STRUCTURE AND FUNCTIONING

While she was making her contributions to transforming the face of stock markets in India, Ramkrishna was handsomely rewarded. She made Rs 44 crore in a little over three years as MD and CEO of the NSE, including Rs 18 crore as remuneration in her final eight months in office before she resigned in December 2016.

BEGINNING OF THE END

In 2015, SEBI received a complaint against the NSE from a whistleblower going by the name of 'Ken Fong', alerting it to what has come to be known as the co-location scam. The allegation was that some brokers could connect to the fastest servers at the NSE with the help of the staff, thereby gaining advantage of a few fractions of a second, which translated into massive gains in the cut-throat environment where a headstart of even a few milliseconds could mean lakhs of rupees for those benefiting from the information.

In January 2010, NSE had started offering a co-location facility allowing members to place their servers in the exchange's premises in return for a fee. This gave them the advantage of faster access to execute orders because these spaces were right next to the exchange servers. Though exchanges across the world offer co-location facilities to mega trading members whose trading volumes exceed a certain minimum, critics say it gives them an unfair advantage as when one gets information makes a big difference to traders.

The whistleblower's complaint set off the train of events that led to Ramkrishna stepping down as MD and CEO of NSE in 2016, and eventually to her recent arrest. Many questions have remained unanswered so far, such as the identity of the mysterious yogi who was in touch with her for years and the full extent of the scam whose surface the SEBI report has barely scratched. ■